Diesel engines

Fuel-price surge turbocharges global EV sales and spells end for diesel in Europe

Repercussions from Iran war help reshape auto industry as hydrocarbon prices rise



Sales of new diesel cars have been steadily shrinking over the past two decades © Damian Lemanski/Bloomberg

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A surge in fuel prices is turbocharging a global acceleration in electric car sales and hastening the death of diesel models in Europe, according to auto executives, as the repercussions from the Iran war reverberate across the industry.

Executives this week hailed a surge in EV sales in Europe, a vital market for carmakers and one in which consumers are particularly exposed to the rise in petrol and diesel prices.

In a sign of the return of rapid growth, EV sales in the EU jumped 63 per cent to 196,486 units in August, according to the European Automobile Manufacturers Association, pushing their share of the market to 28 per cent.

Sales of new diesel cars in the 27-country bloc tumbled by almost a quarter to 45,403 vehicles in the same month, shrinking its share of the market to just 6 per cent.

The burst of demand for EVs has extended beyond Europe, with sales growth picking up rapidly in south-east Asia and Latin America.

“The breakthrough is here,” Oliver Blume, chief executive of Volkswagen, Germany’s largest carmaker, said of the European market. “For many Europeans, an electric car is a personal declaration of fuel-pump independence.”

Even in the US, where President Donald Trump’s move to end a $7,500 tax credit for EV buyers decimated sales over the past year, there are tentative signs of a recovery.

The explosive growth in Europe follows a bruising two years in which demand failed to match the industry’s lofty expectations.

In sharp contrast, the steep rise in diesel prices — driven in part by Ukrainian forces targeting Russian refineries — has further depressed already lacklustre sales of models that use the fuel.

Diesel hit $220 a barrel in the wholesale markets in Europe and the US last month — more than twice its level before the Iran war began in February. The International Energy Agency warned this week that there will be a global shortage of diesel until the middle of next year.

“I think this is the end of diesel,” said Erik Severinson, chief commercial officer of Swedish group Volvo Cars.

“If you ask the customer today, why would you buy diesel?” he said, pointing to higher prices and the uncertainty over the value of second-hand diesel vehicles.

“It’s over for diesel,” said a top executive at an Asian manufacturer, citing concerns about shortages of the fuel.



Stellantis chief Antonio Filosa, right, admits there are 'very few applications' for diesel other than for trucks and commercial vehicles
© Ludovic Marin/AFP/Getty Images

Despite sales of diesel passenger cars sliding for the past two decades in Europe, the market has remained a relative stronghold compared with the US, where sales are tiny.

Stellantis, Europe's second-largest carmaker and home to the Peugeot, Fiat and Citroën brands, revived diesel engines for several models following an easing last year of the EU's 2035 ban on the sale of new petrol and diesel models.

Chief executive Antonio Filosa said the company intended to continue to leverage diesel engines for "a little bit longer", but admitted that there were "very few applications" for diesel other than for trucks and commercial vehicles.

"What is happening in the market is a strong acceleration of EVs," Filosa said at the Paris Auto Show this week.

Renault, which was already phasing out diesel cars in Europe, said the next segment to fall would be small vans and commercial vehicles, as fast charging and cheaper electric models were introduced.

"If you've got a fleet of vans today running on diesel, your issue is that you just can't control your diesel budget," said François Provost, the French carmaker's chief executive.

"It's super high today, it may go down again, but people are already thinking 'one day it's going to go up once more'."

Europe remains the most exposed to higher diesel costs, with 40 per cent of cars on the continent's roads still running on the fuel, according to environmental NGO Transport & Environment.

European drivers were spending an extra €30 on diesel each time they filled up a 50-litre tank, a more than 40 per cent increase compared with January, according to its analysis.

Diesel prices have been volatile this month after Trump, who is seeking to bring down costs for US drivers ahead of November's midterm elections, threatened to ban diesel exports before backtracking.

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